

Latvenergo Group Consolidated and Latvenergo AS Annual Report

2025



Green Bond Report

Latvenergo AS has issued green bonds within three bond offering programmes.

- The green bond programme was launched in 2015, making Latvenergo AS the first state-owned company in Eastern Europe to issue green bonds. Bonds in the total amount of EUR 100 million were issued within this programme, which was concluded in 2016. These bonds were repaid in June 2022.
- The next green bond programme was carried out in 2021–2023, when three tranches in the total amount of EUR 200 million were issued.
- In November 2025, eurobonds were issued for the first time, with EUR 400 million issuance in the European Green Bond format.

At the end of the reporting year, the amount of outstanding bonds was EUR 600 million, constituting 48% of the Group's total borrowings.

Local green bonds

Local green bonds in the amount of EUR 200 million are listed on the regulated market of Nasdaq Riga AS.

The main requirement for green bonds is that the funds raised are used exclusively for environmentally friendly projects. The [Green Bond Framework](#), which was last updated in April 2020, sets out the selection procedure and criteria for eligible projects, the creation of a special account, and regular reporting.

The Green Bond Framework was awarded the [highest possible rating](#) – Dark Green – by CICERO Shades of Green, an independent environmental expert. This indicated the compliance of the planned eligible projects with long-term environmental protection and climate change mitigation targets as well as good corporate governance and transparency. Internal [audits](#) were conducted on the management of proceeds from the issuance of all green bonds and the compliance of the selection of eligible projects. The audits concluded that, in all material respects, the procedures applied and actions taken comply with the Green Bond Framework.

The funds raised within the green bond programme were allocated to generation and distribution projects. The largest eligible projects are the Daugava HPP hydropower unit reconstruction programme and the building and reconstruction of distribution power lines and transformer points. According to the Green Bond Framework, the projects are divided into three groups:



renewable energy and related infrastructure – reconstruction of existing hydropower units, as well as construction of new bioenergy and wind energy capacities and reconstruction of existing capacities



energy efficiency – building and reconstruction of distribution networks, including smart grid projects, and development of low emission transport infrastructure



sustainable management of living natural resources and land use – research and development in the field of nature protection and biodiversity, as well as protection of ecosystems and biodiversity

European green bonds

Latvenergo's inaugural eurobond issuance marked the company's debut in international bond markets and underscores the company's commitment to sustainable financing and the long-term green transition. Latvenergo's inaugural European green bond issuance, amounting to EUR 400 million, achieved several notable milestones:

- first-ever benchmark-size EU green bond from CEEMEA
- first international green bond issued by a Latvian corporate
- largest ever corporate bond issued by a Latvian company

The notes are admitted to trading on the regulated market of the Luxembourg Stock Exchange (Bourse de Luxembourg) and the regulated market of Nasdaq Riga AS.

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The [European Green Bond Factsheet](#), approved in October 2025, sets out the selection procedure and criteria for eligible projects, the management of proceeds, and reporting.

Latvenergo AS has received a [pre-issuance review from Sustainable Fitch](#) confirming that the bonds planned within the European Green Bond Factsheet comply with the European Green Bond Standard, as well as the ICMA Green Bond Principles. After full allocation of the received bond proceeds (at the time of report publication, 350 out of EUR 400 million have been allocated), a post-issuance review will be obtained, and a report on the benefits from project implementation will be developed later.

According to the requirements of the European Green Bond Standard, bond proceeds may be allocated to the implementation of sustainable projects that comply with the EU Taxonomy requirements. In accordance with the European Green Bond Factsheet, the financed projects support the objective of climate change mitigation and are divided into two groups:



renewable energy – electricity generation using solar photovoltaic technology and wind power, modernization of hydroelectric power plants, BESS solutions, development of electricity distribution infrastructure



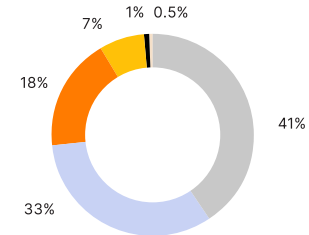
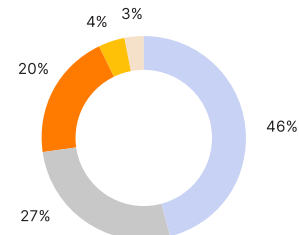
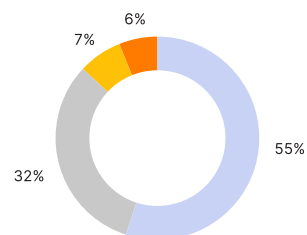
clean transportation – expansion of the electric transport charging network

Local green bonds

ISIN code	LV0000802460	LV0000870129	LV0000802684
Issuance year	2021	2022	2023
Issuance amount	EUR 50 million	EUR 100 million	EUR 50 million
Issuance organised by	Luminor Bank AS and Swedbank AB (publ.)	Luminor Bank AS and Swedbank AB (publ.)	Luminor Bank AS and Swedbank AB (publ.)
Maturity date	17 May 2028	5 May 2027	22 February 2029
Fixed annual interest rate (coupon)	0.5%	2.42%	4.952%

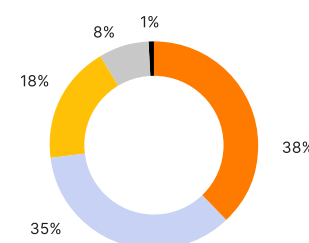
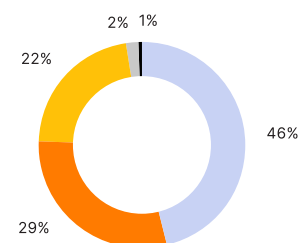
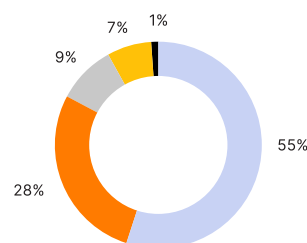
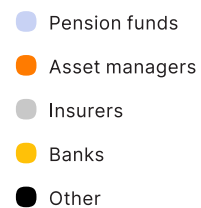
Investors by region

according to the coupon payment in 2025

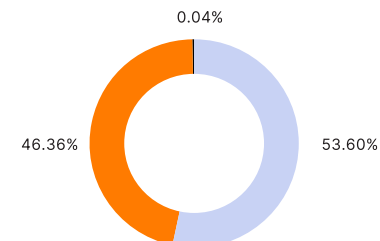
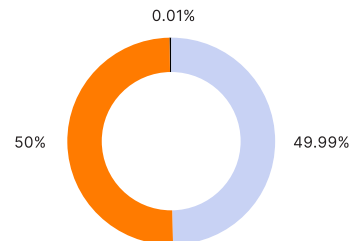
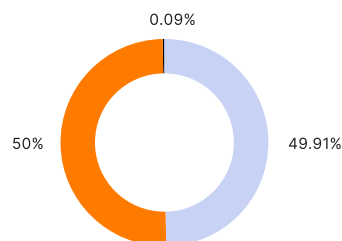
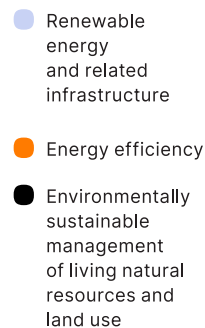


Investors by type

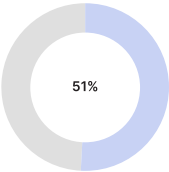
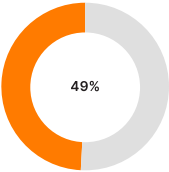
according to the coupon payment in 2025

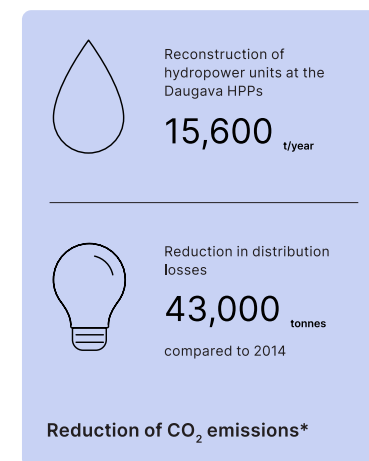
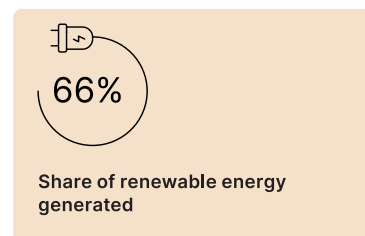


Use of proceeds by project group



Use of proceeds and benefits from the project implementation

Group operating segment	Eligible projects	Allocated proceeds, MEUR	2021 issue, ISIN code LV000080246	2022 issue, ISIN code LV0000870129	2023 issue, ISIN code LV0000802684	Project objectives and benefits
Generation 	 Reconstruction of hydropower units and technological equipment at the Daugava and Aiviekste HPPs	101.74	24.95	49.99	26.8	Extending the service life of the hydropower units and increasing their capacity and efficiency ratios. Maintaining a high share of renewables in energy generation. Increasing the safety of operations of the Daugava HPPs. Reducing the oil leakage risk. Implementation of the programme allows for a reduction of CO₂ emissions of up to 15,600 tonnes per year. In 2025, the share of electricity generated from renewable energy sources by the Group was 66%. In 2021, full reconstruction of the Aiviekste HPP was completed.
	 Protection of biodiversity	0.08	0.05	0.01	0.02	Reducing the impact of the Daugava HPPs on fish stocks and biodiversity in the Daugava River basin. Every year, more than 400 fish spawning nests are placed in the Daugava River. An 8 km stretch of the Berzene River and a 5.1 km stretch of the Vedze River have been cleared of obstructions and research has been carried out to identify possible measures to facilitate the migration of migratory fish in the Berzene River and the Vedze River and to improve the habitats of protected species.
Distribution 	 Building and reconstruction of electricity lines and transformer points	78.32	22.3	47.02	9	Reducing the duration of power interruptions and electricity losses. Extending the service life of the distribution grid. Since 2014, interruption duration and interruption frequency indexes have been reduced substantially (SAIFI by 59% and SAIDI by 71%). The reduction of CO₂ emissions resulting from the decrease in distribution losses is around 43 thousand tonnes.
	 Smart meters	19.86	2.7	2.98	14.18	Reducing the duration of power interruptions and electricity losses. Opportunities for more efficient electricity consumption and use of smart energy efficiency products and services. Since the introduction of the green bond programme in 2015, more than 1.1 million smart meters have been installed; these account for around 99% of the total fleet of electricity meters.
TOTAL		200.00**	50.00	100.00	50.00	



* The potential reduction in CO₂ emissions resulting from the reconstruction of the Daugava HPP hydropower units is up to 15,654 tonnes per year (at specific CHPP-2 emissions in the condensation mode of 0.369 t CO₂/MWh). Since the introduction of the green bond programme in 2015, the reduction in CO₂ emissions resulting from the decrease in distribution losses is 42,944 tonnes.

** 100% of the proceeds from green bonds are used to finance projects completed within one year prior to the issue or later.

European green bonds

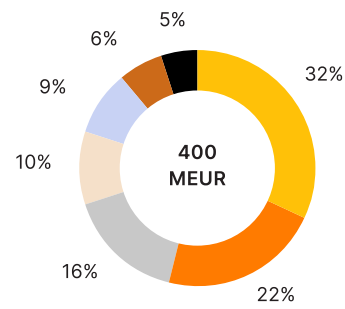
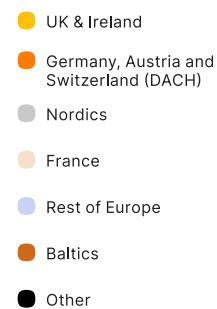
ISIN code	XS3227294132
Issuance year	2025
Issuance amount	EUR 400 million
Issuance organised by	BNP PARIBAS, J.P. Morgan SE as global coordinators and joint bookrunners, Skandinaviska Enskilda Banken AB (publ), Luminor Bank AS as joint bookrunners
Maturity date	13 November 2030
Fixed annual interest rate (coupon)	3.612%

Use of proceeds

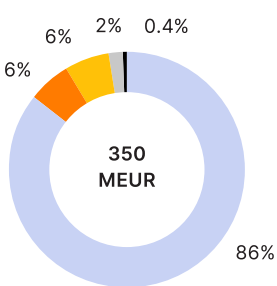
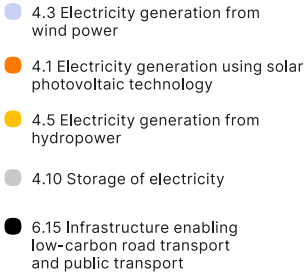
At the time of report publication, 350 out of EUR 400 million have been allocated, and the allocation of EUR 350 million is shown below.

A full allocation report on the use of proceeds from the European green bonds will be published within the timeframe specified in the [European Green Bond Factsheet](#) (i.e., within 270 days after the last day of the calendar year of issuance).

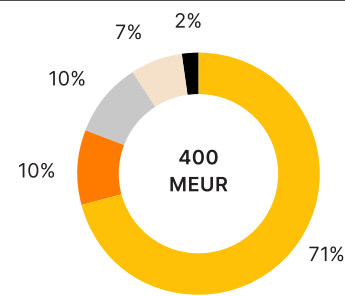
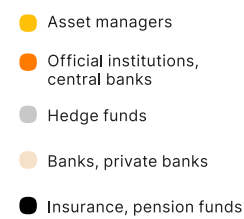
Investors by region according to the bond issuance



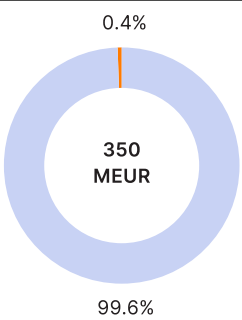
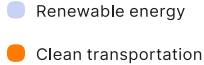
Use of proceeds in accordance with EU Taxonomy activity



Investors by type according to the bond issuance



Use of proceeds by project group



Terms and Abbreviations

autotransformer	transformer with one winding, which is the highest voltage winding, but part of this winding forms the lowest voltage winding	derivative financial instruments	bilateral agreements, the value of which depends on and changes according to fluctuations in the value of the guarantee (shares, currency, bonds, interest rates) underlying the instrument
BAT	best available techniques	distribution system	system which ensures the flow of electricity from the electricity transmission network and electricity generators connected to the distribution networks to electricity consumers
BESS	battery energy storage system	EBITDA	earnings before interest, taxes, depreciation, and amortization
biodiversity or biological diversity	the variability among living organisms from all sources including terrestrial, marine and other aquatic ecosystems and the ecological complexes of which they are a part. This includes variation in genetic, phenotypic, phylogenetic, and functional attributes, as well as changes in abundance and distribution over time and space within and among species, biological communities and ecosystems	EC	European Commission
biomass	the biodegradable fraction in products and waste of agriculture, forestry and related industries, as well as the biodegradable fraction in industrial and municipal waste	ecological threshold (or breakpoint)	the point at which a relatively small change in external conditions causes a rapid change in an ecosystem. When an ecological threshold has been passed, the ecosystem may no longer be able to return to its state by means of its inherent resilience
CAPEX	capital expenditures	ecosystem(s)	a dynamic complex of plant, animal and micro-organism communities and their non-living environment interacting as a functional unit. A typology of ecosystems is provided by the IUCN Global Ecosystem Typology 2.0
CHPP	see <i>combined heat and power plant</i>	EIA	Environmental Impact Assessment
CHPP-1	Latvenergo AS first combined heat and power plant	electromobility	an integral part of the transport sector, consisting of environmentally friendly electric motor vehicles
CHPP-2	Latvenergo AS second combined heat and power plant	energy efficiency	more optimal and efficient use of energy
climate neutrality	maintaining a balance between carbon emissions and carbon absorption from the atmosphere through carbon sequestration systems	energy management	a set of energy consumer actions aimed at reducing energy consumption
cogeneration	cogeneration of heat and electricity in one energy installation; significantly reduces fuel consumption compared to separate heat and electricity generation	energy sources	fuel stocks and energy sources that can be used for direct use or energy generation
combined heat and power plant	a power plant that produces electricity from thermal energy obtained by burning fossil fuels; thermal power plant	ETS	European Union Emissions Trading System
condensation	electricity generation mode in which heat is not generated	EU	European Union
coupon (bond coupon)	the amount of interest on a security for a predetermined period of time	EU taxonomy	classification system for economic activities that aims to identify which activities can be considered sustainable
credit rating	assessment of a borrower's creditworthiness, which is expressed by a special index or combination of letters and which indicates the degree of risk	ESRS	European Sustainability Reporting Standards
critical infrastructure	facilities and systems, the destruction or malfunction of which would significantly affect the implementation of state functions	European Green Deal	the growth strategy aspiring to transform the EU into a climate-neutral, fair and prosperous society with a modern, resource-efficient and competitive economy
CSDDD	Corporate Sustainability Due Diligence Directive	fossil energy sources	non-renewable energy sources, the use of which results in the release of greenhouse gas emissions into the atmosphere, which have a significant impact on climate change (oil products, natural gas, peat and coal)
CSR	corporate social responsibility		
CSRD	Corporate Sustainability Reporting Directive		

green bonds	bonds used to finance projects that have a positive impact on the environment and/or the climate	REACH	The Regulation on the registration, evaluation, authorisation and restriction of chemicals
green energy	energy from renewable sources	remediation	means to counteract or make good a negative impact or provision of remedy
green procurement	procurement which includes criteria for the purchase of goods and services with the least possible impact on the environment	renewable energy sources	energy sources available indefinitely that regenerate faster than their consumption rate (wind, water, solar radiation, biomass, geothermal energy, waves, tides)
GHG	see <i>greenhouse gases</i>	RES	see <i>renewable energy sources</i>
greenhouse gases	The gases listed in Part 2 of Annex V of Regulation (EU) 2018/1999 of the European Parliament and of the Council. These include Carbon dioxide (CO ₂), Methane (CH ₄), Nitrous Oxide (N ₂ O), Sulphur hexafluoride (SF ₆), Nitrogen trifluoride (NF ₃), Hydrofluorocarbons (HFCs) and Perfluorocarbons (PFCs).	SAIDI	System Average Interruption Duration Index
hazardous waste	hazardous waste means waste which displays one or more of the hazardous properties listed in Annex III of the Waste framework directive	SAIFI	System Average Interruption Frequency Index
high voltage	electrical voltage greater than 1000 volts; in Latvia, it is defined as 110 kV–330 kV voltage	SPP	solar power plant
HPP	see <i>hydropower plant</i>	STEM	science, technology, engineering and mathematics
hydropower plant	a power plant in which energy from the movement of water is converted into electricity	substances of concern	i. meets the criteria laid down in Article 57 and is identified in accordance with Article 59(1) of Regulation (EC) No 1907/2006; ii. is classified in Part 3 of Annex VI to Regulation (EC) in one of the following hazard classes or hazard categories: - No 1272/2008 – carcinogenicity categories 1 and 2, - germ cell mutagenicity categories 1 and 2, - reproductive toxicity categories 1 and 2, [to be added in the course of the legislative procedure once Regulation (EC) No 1272/2008 contains these hazard classes: Persistent, Bioaccumulative, Toxic (PBTs), very Persistent very Bioaccumulative (vPvBs); Persistent, Mobile and Toxic (PMT), very Persistent very Mobile (vPvM); Endocrine disruption], - respiratory sensitisation category 1, - skin sensitisation category 1, - chronic hazard to the aquatic environment categories 1 to 4, - hazardous to the ozone layer, - specific target organ toxicity - repeated exposure categories 1 and 2, - specific target organ toxicity – single exposure categories 1 and 2; or iii. any other substance that are set out in applicable EU legislation
IED	Industrial Emissions Directive	substances of very high concern	substances that meet the criteria laid down in Article 57 of Regulation (EC) 1907/2006 (REACH) and were identified in accordance with Article 59(1) of that Regulation
IFRS	International Financial Reporting Standards	Sustainable Development Goals	global development goals set by the UN that are to be achieved by 2030
IRO	impacts, risks, opportunities		
ISO	International Organization for Standardization		
LNG	liquified natural gas		
LPG	liquified petroleum gas		
NGO	non-governmental organisation		
OECD	Organization for Economic Cooperation and Development		
OPEX	operating expenses		
OÜ	limited liability company (in Estonia)		
pollution	the direct or indirect introduction, as a result of human activity, of pollutants into air, water or soil which may be harmful to human health and/or the environment, which may result in damage to material property, or which may impair or interfere with amenities and other legitimate uses of the environment		
PA	protected areas		
PUC	Public Utilities Commission		

transmission system	330 kV and 110 kV power transmission lines, substations and distribution points that ensure electricity transmission
UN	United Nations
value chain	the full range of activities, resources and relationships related to the undertaking's business model and the external environment in which it operates.
WPP	wind power plant

Statement of Management Responsibility

Based on the information available to the Management Board of Latvenergo AS, Latvenergo Group consolidated financial statements and Latvenergo AS financial statements for the year ended 31 December 2025 have been prepared in accordance with IFRS accounting standards as adopted by the EU and in all material aspects present a true and fair view of the financial position, profit and loss and cash flows of Latvenergo Group and Latvenergo AS.

The Management Report of the Group's Consolidated and Latvenergo AS Annual Report for 2025 provides a description of the main risks and uncertainties the Group faces. The sustainability information included in the Management Report has been prepared in accordance with the European Sustainability Reporting Standards defined by Sustainability Information Disclosure Law and Article 8(4) of Regulation (EU) 2020/852 of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088.

Information provided in the Management Report is accurate.

Latvenergo Group Consolidated and Latvenergo AS Annual Report 2025 is approved by the Management Board of Latvenergo AS on 28 April 2026 and is signed by Member of the Management Board Guntars Baļčūns as authorized person.

This document is signed with a secure digital signature and contains a time stamp.

Guntars Baļčūns

Member of the Management Board
of Latvenergo AS